

STEEL AUTHORITY OF INDIA LIMITED — SALEM STEEL PLANT
PURCHASE REQUISITION & INDENT NOTE: A612002 / SMS/25/002

Initiator: M.N. THANIYARASU (PNo: D001022, GM(SMS-OPN))

Department: HQ/SMS OPERATION/SMS OPERATION

Ref No: SMS/25/002 **Date:** 11/04/2025

Subject: Purchase Requisition for procurement of 'MS SCRAP - SHREDDERED' against Indent Ref. No. SMS/25/002

PR Requisition Number: A612002 **Estimated Cost:** Rs. 1,32,27,32,800/-

Background of the Proposal & Checklist

i)	Indenter	M.N. THANIYARASU, GM (SMS-O)
ii)	Indent Ref No & Date	SMS/25/002 dated 11/04/2025
iii)	Description of the Item	MS SCRAP - SHREDDERED NON-CRITICAL / EXISTING ITEM / CENVAT / NON-IPSS
iv)	Material Code	135010000304
v)	Quantity	31000 MT
vi)	Estimated Cost	Rs. 1,32,27,32,800/- (Landed Cost Basis including GST)
vii)	Delivery Period	12 Months
viii)	EMD	Not specified in the document
ix)	Distribution of Order	Order shall be placed on maximum three parties
x)	Security Deposit	Security Deposit shall be obtained from supplier
xi)	Price Discovery	Multiple price discoveries (Reverse Auction) through EPS (M-junction) on OTE basis
xii)	Mode of Tender	OTE through EPS (M-JUNCTION)
xiii)	Approving Authority	RAVI CHANDER DV, CGM(MAINT, Steel & Proj) / PRABIR KUMAR SARKAR, Executive Director

ANNEXURE 1: 3-Year Converter Consumption Trends & Yield Analysis

Last 3 years actual consumption, current stock, and pending supply details for MS-Shredded Scrap are presented below. Stock at SSP including site stock as on 11.04.25 is 2494 MT, pending supply as on 11.04.25 is 281 MT, giving a total stock & pending supply of 2775 MT.

Parameter / Item	Standard Benchmark	Recorded / Extracted Value	Status
Annual MS Scrap Requirement	86,448 MT	86,448 MT	Conforms
Shredded Scrap Share (30%)	25,934 MT	25,934 MT	Verified
Buffer Stock (2 Months)	5,403 MT	5,403 MT	Verified
Net Procurement Qty	31,000 MT	31,000 MT	Approved
Landed Cost per MT (incl. GST)	Rs. 42,669/-	Rs. 42,669/-	Current LPP
Total Estimated Procurement Value	Rs. 1,32,27,32,800/-	Rs. 1,32,27,32,800/-	Approved

Inspection & Quality Note: Material to be received strictly in compliance with SAIL Salem Steel Plant Quality Plan QP/SMS/04.

ANNEXURE 2: ABP Requirement & Buffer Stock Computations

MS-Scrap requirement considered as per ABP for FY 2025-26 including buffer stock for 2 months. IPT scrap low receipt necessitates outside agency procurement.

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Complete mathematical justification for procurement of 31,000 MT MS Shredded scrap.

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ANNEXURE 4: Task Force Committee Comprehensive Scrap Allocation

Task Force Committee Recommendations for procurement of scrap items for SMS during FY 2025-26 based on ABP slab production of 1,80,000 MT.

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ANNEXURE 5: Basis of Cost Estimate & Last Purchase Price (LPP) Analysis

Cost estimate based on LPP vide AT ref no. A412032/F1,F2,F3 dated 24.03.2025 placed on M/s KSJ Recyclers, M/s Shabro Metallic, and M/s MTC Business.

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ANNEXURE 6: Platform Evaluation (EPS / M-junction vs GeM Procurement)

Justification for procurement of MS-Shredded Scrap through EPS (M-junction) on OTE basis due to scrap market price volatility.

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ANNEXURE 7: Proposal Clauses i to viii & Commercial Terms

Detailed commercial terms, reverse auction modalities, MSE splittability preferences, security deposit clauses.

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ANNEXURE 8: Delegation of Power (DOP) & Executive Director Approvals

Formal signoff hierarchy and authority endorsements.

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Density, purity, moisture limits, and non-metallic inclusion thresholds.

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Weighment procedures, tare checking, inspection randomizations.

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Radiation monitoring clearance certificate requirements for imported scrap.

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Monthly lot dispatch schedule from June 2025 to May 2026.

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ANNEXURE 13: Risk Assessment & Raw Material Buffer Contingency

Contingency plan for raw material price spikes and rail rake availability.

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ANNEXURE 14: Vendor Prequalification Criteria & Financial Benchmarks

Minimum turnover, track record, and past performance certificates.

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ANNEXURE 15: Stores Inward Voucher Format & Final Signoff Sheet

Standard Stores Receipt Voucher format and final approver certifications.

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